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Retail corporate groups: Challenges of omnichannel management in Japan

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ABSTRACT

The omnichannel varies across countries due to different retail environments and retailers' growth strategies. The Japanese big retailers' omnichannel can be characterized by having multiple retail formats, such as department stores, general merchandise stores, convenience stores, specialty stores, Internet stores, and so on. They have grown by multiplying retail formats to appeal to different customer segments, and they have unique challenges in managing an omnichannel with many retail formats. These are (1) extremely wide variety of merchandise, (2) enormous quantity of data from transaction, inventory, logistics, and customers, (3) different organization structures and management, and (4) unique organizational capabilities in each retail format. From these challenges, we could propose further research issues as follows: (1) theoretical consideration of boundary-spanning functions among retail formats, (2) international comparative analysis reflecting the different conditions in each country, and (3) clarifying the characteristics of the omnichannel shopper in the Japanese omnichannel environment.

KEYWORDS

Transaction channel;
communication channel;
retail formats

Introduction

In Japan as well as in the U.S. and Europe, “omnichannel” has attracted a great deal of attention in recent years in both the business world and academia. “Omnichannel” is defined as “an integrated sales experience that melds the advantages of physical stores with the information-rich experience of online shopping.” (Rigby, 2011). A seamless shopping experience for consumers through the integration of multiple channels is emphasized (Kondo, 2016; Lazaris & Vrechopoulos, 2014).

The elements of an omnichannel consist of retail stores, sales forces, phones, mobile phones, catalogs, direct mail, the web, call centers, and social media (Verhoef, Kannan, & Inman, 2015). These elements include not only a transaction channel, but also a communication channel where various kinds of information are exchanged between sellers and buyers. From this perspective, channels serve as “communication vehicles” (Neslin & Shankar, 2009) and “a customer contact point” where the company and the customer interact (Beck & Rygl, 2015). Thus, both transaction and communication channels should be coordinated in an integrated way to provide a seamless customer experience in an omnichannel context.

The characteristics of omnichannel strategy in Japan

The growing processes of retailers vary across countries, and this is also the case with the growth of omnichannel. In the U.S., where the concept of omnichannel was created, there is a U.S. specific omnichannel. As is the case with Walmart stores, The Kroger Company (supermarket), or Walgreen's (drugstore), big U.S. retailers basically adopt a single retail format for the omnichannel strategy and have grown by opening many stores and expanding geographically. Even if they have two formats, they only have a store (offline) and an Internet store (online), which carry the same assortment. For example, the omnichannel of an online department store is implemented by operating an offline department store in an integrated way.

On the other hand, in Japan, an omnichannel is characterized by having multiple retail formats (Kondo, 2016). As typically seen in Seven & i Holdings and AEON Group, the big Japanese retailing groups have diversified their retail formats (such as department stores, general merchandise stores, convenience stores, specialty stores, Internet stores, and so on) at the company or group level in their growth processes. They presently form retail conglomerates

with various retail formats, which function as the starting point of a transaction and/or communication channel (see Figure 1).

The reason why these retailers grow through the multiplication of retail formats could be attributed to the coverage of different customer segments. For example, a department store provides luxurious merchandise and services for the wealthy, while Internet retailing targets consumers seeking convenience. Also, each retail format is different in terms of the store/website atmosphere, social environment, service interface, product assortment, and prices (Verhoef et al., 2009), which lead to unique customer experiences. The more the retailer adds new retail formats, the more the number of served segments increases. Therefore, a retailer could enclose customers at a

corporate level and expand its share of customers by deploying different retail formats (see Figure 2).

Moreover, for the delivery point of merchandise, U.S. retailers basically rely on home delivery to implement their omnichannel strategies, whereas Japanese retailers use their own networks of stores, especially in the case of Seven & i. These networks of stores act as hubs where all channels converge. The practice of utilizing a store as a delivery and receipt point is referred to as “click and collect,” and is not unique to Japanese retail groups. The “click and collect” strategy means “the ability to order and return or exchange goods in-store, ordering while in-store, using one’s own mobile device or self-service technology provided by the retailer” (Piotrowicz & Cuthbertson, 2014). The “mobile click and collect shop” enables the customer to order from an online shop on their phone, and then collect the merchandise at a physical store or a collection point” (Beck & Rygl, 2015). Nevertheless, in the case of the Japanese big retailers with a huge number of stores in various types of retail formats, including convenience store networks, stores acting as “hubs” provide a great deal of convenience for their customers.

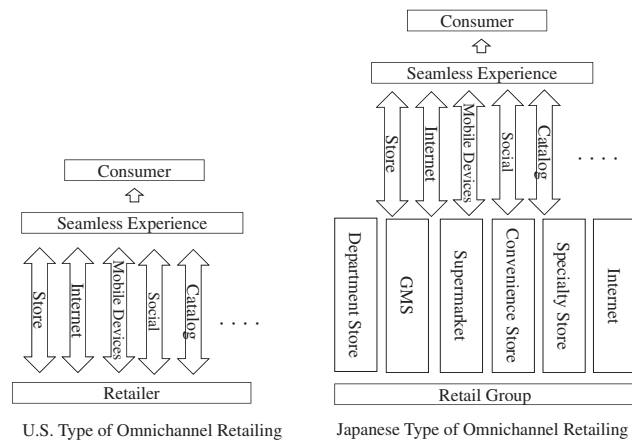


Figure 1. Comparison of the U.S. and Japanese type of omnichannel retailing. Source: Kondo (2018).

Unique challenges of the Japanese type of omnichannel

The Japanese type of omnichannel, characterized by multiple retail formats, has unique challenges. First, the Japanese omnichannel retailers deal in an extremely wide variety of merchandise due to their

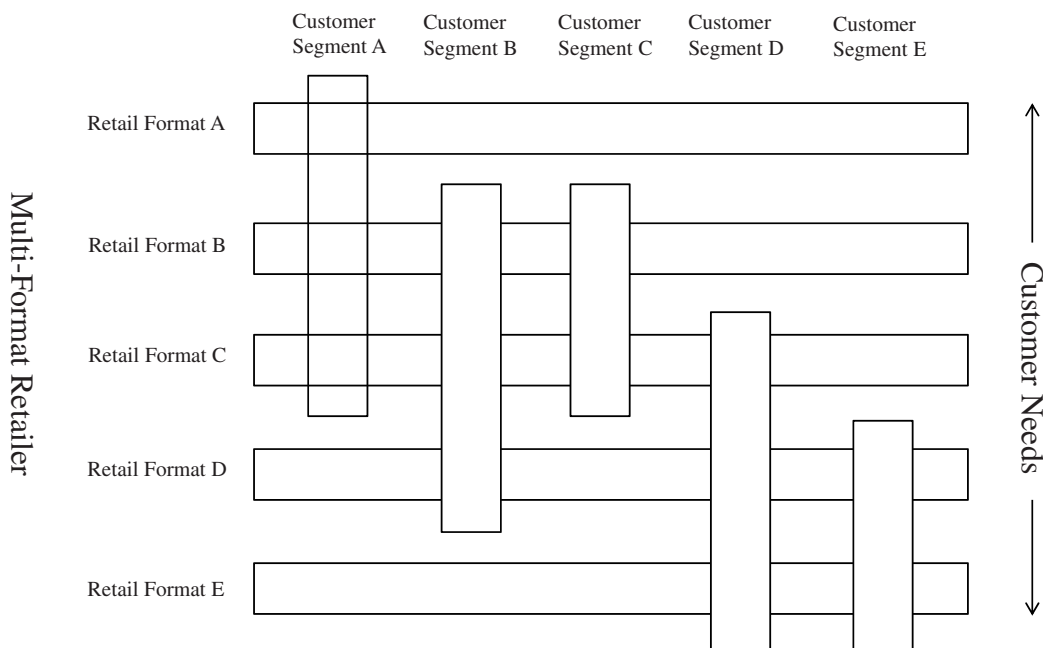


Figure 2. Multi-Format retailer and appeals to customer segments. Source: Kondo (2018).

multiple retail formats. For example, according to its Integrated Report 2016, the omnichannel strategy of Seven & i Holdings, which is called “omni7,” allows customers to (a) buy approximately 400 million items in the group through its website, and (b) receive, pay for, and return items at roughly 20 million stores, centered on convenience stores (Seven & i Holdings Co., Ltd., 2017). It would be quite difficult to manage this in an integrated way because of the many and diverse product characteristics.

Second, the quantity of data from transactions, inventory, logistics, and customers is enormous. It would be critically important for omnichannel retailing to integrate and share these kinds of data to provide seamless customer experiences. However, it would not be easy to implement across the many channels and retail formats.

Third, the organization structures and management systems are different in each retail format. Although it is necessary to exchange resources such as human resources, physical goods, capital, and information among retail formats, to operate an omnichannel effectively and efficiently, such exchanges would be complicated due to their organizational “silos.”

Fourth, each retail format has its own unique organizational capabilities. For example, a general merchandise store needs to operate as a chain store and at a low cost, and convenience stores require unit control and frequent, small lot transport. Therefore, the omnichannel retailers must develop these various organizational capabilities across channels and implement optimal omnichannel strategies. In addition, ironically, the integrated omnichannel strategy might dilute the characteristics of each retail format, thereby decreasing the ability to adapt to their respective markets (Neslin et al., 2006).

Further research

We propose several further research issues from the discussion so far.

The main characteristic of the Japanese model of omnichannel is multiple retail formats. Therefore, it is important to deepen the theoretical and empirical analysis of the Japanese type of omnichannel and make its features even clearer.

First, the Japanese omnichannel with multiple retail formats impose on retailers a question of how to overcome organizational silos, and effectively allocate resources and capabilities at the corporate group level. What is critical is boundary spanning across the retail formats to smoothly implement its omnichannel strategy. So, it is

important to theoretically consider boundary spanning functions in Japanese omnichannel retailing.

Second, we need to consider omnichannel in a more international context. There may be other forms of omnichannel models, such as those found in the U.S., Britain, and Germany, which could be determined by the different histories and characteristics of retailing in each country. This international comparative research could also illuminate the many different aspects of omnichannel retailing.

Third, it is important to clarify the characteristics of the omnichannel shopper (Lazaris, Vrechopoulos, Fraidaki, & Doukidis, 2014) in the Japanese omnichannel environment who uses the various transaction and communication channels simultaneously. How do they differ from the non-omnichannel shoppers, and how do they properly use or straddle the various retail formats? These are critical questions for omnichannel research.

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